SESSION 6: ACCOUNTING FOR JOINT OPERATIONS

IFRS 11 *Joint Arrangements* classifies investments into joint venture and joint operation. A joint venture is accounted for by applying equity method per the provisions of IAS 28. In this session we focus on how investment in a joint operation.

Objectives

At the end of this session, you should be able to prepare consolidated financial statements which include presentation of a joint operation.

Accounting Principles for Joint Operation

The basic principle established in IFRS 11 is that joint operations should be accounted for by following the contractual arrangement established between the parties to the joint arrangement.

In its own financial statements, a joint operator will account in accordance with IFRS 11 for the following:

- Its assets, including its share of any assets held jointly;
- Its liabilities, including its share of any liabilities incurred jointly;
- Its revenue from the sale of its share of the output arising from the joint operation;
- Its share of the revenue from the sale of the output by the joint operation; and
- Its expenses, including its share of any expense incurred jointly.

It is clear that in a joint operation, a joint operator could either have an interest in the assets or incur the liabilities or expenses, directly as its own assets, liabilities and expenses, or the joint operator could have a shared interest. If a shared interest exists, the terms of the contractual arrangement will determine each operator's share. Once a joint operator's direct or shared interest in the assets, liabilities, income and expenses is determined, the joint operator accounts for them by following the IFRS applicable in each instance.

If an entity participates in but does not have joint control of a joint operation but has rights to the assets, and obligations for the liabilities, relating to the joint operation it must also apply the above accounting treatment.

If an entity participates in but does not have joint control of a joint operation and also does not have rights to the assets, and obligations for the liabilities, relating to the joint operation it must account for its interest in the joint operation in accordance with the IFRSs applicable to that interest.

Illustration 1

On 1 January 2025, Elolo Ltd and Edudzi Ltd entered into a joint operation to purchase and operate an oil pipeline. Both entities contributed equally to the purchase cost of

GH¢45,000,000 and this was financed by a joint loan of GH¢45,000,000. The terms of the contract are as follows:

- Elolo Ltd carries out all maintenance work on the pipeline but maintenance expenses are shared between Elolo Ltd and Edudzi Ltd in the ratio 60%: 40%.
- Both entities use the pipeline for their own operations and share any income from third parties 50%: 50%. Sales to third parties are invoiced by Elolo.
- The full interest on the loan is initially paid by Edudzi Ltd, but the expense is to be shared equally.

During the year ended 31 December 2025, Elolo Ltd carried out maintenance at a cost of GH¢7,500,000. Income from third parties was GH¢6,000,000, all paid to Elolo Ltd. Interest of 20% on the loan was duly paid at the end of the year by Edudzi.

Required: Prepare a schedule to show the relevant figures that would be recognised by both Joint Operators in the statement of Financial Position and the Statement of Profit or Loss for the for the year to 31 December 2025.

Elolo and Edudzi
Schedule of Relevant Figures to be Recognised in Financial Statements

	Total (GH¢)	Elolo (GH¢)	Edudzi (GH¢)
Statement of Financial Position			
PPE-Oil Pipeline	45,000,000	22,500,000	22,500,000
Loan - Equally	45,000,000	22,500,000	22,500,000
Current Account-Payable to Edudzi		**4,500,000**	
Current Account-Receivable from Elolo			**4,500,000**
Statement of Profit or Loss			
Revenue (50:50)	6,000,000	3,000,000	3,000,000
Maintenance (60:40)	7,500,000	(4,500,000)	(3,000,000)
Interest (50:50) (20%x45m)	9,000,000	(4,500,000)	(4,500,000)

Current Account Workings	**Elolo**	**Edudzi**
Net Expenses (Rev, Main, Int)	(6,000,000)	(4,500,000)
Cash Expenses paid (for Main and Int)	7,500,000	9,000,000
Cash received - Cash from sales	(6,000,000)	
Current Account	(4,500,000)	4,500,000

Explanatory Notes

1. The question was clear about the investment being a joint operation, which means the accounting is based on the contractual agreements.
2. Note that the percentages are not the same for all the transactions, an emphasis on the fact that it is the contractual agreements that must determine the accounting.
3. The accounting must take each operator's share of assets, liabilities, incomes and expenses and these are added to the line items of the in the operator's separate financial statements.
4. For example, if Elolo has PPE figure in its individual/separate statement of financial position of GH¢50 million the total will now be GH¢72 million because the share of GH¢22m is added to the PPE figure in the individual financial statement.
5. Note that, the Joint Operator will apply the relevant standards to account for the elements – IAS 16 for the PPE, IFRS 9 for the loan etc.
6. This question provides information on both joint operators so we are able to account for both and also determine the current account balances between them.

Illustration 2

Atlas has a 40% share of a joint operation. The assets, liabilities, revenues and costs of the joint operation are apportioned on the basis of shareholdings. The following information relates to the joint arrangement activity for the year ended 31December 2024:

- The factory premises cost GH¢30,000,000 to construct and was completed on 1 January 2024 and is to be dismantled at the end of its estimated useful life of 10 years. The present value of this dismantling cost to the joint arrangement at 1 January 2024, using a discount rate of 8%, was GH¢3,000,000.
- During the year ended 31 December 2024, the joint operation entered into the following transactions:
    - goods with a production cost of GH¢26,000,000 were sold for GH¢45,000,000
    - other operating costs incurred amounted to GH¢1,200,000
    - administration expenses incurred amounted to GH¢2,300,000.

Atlas has only accounted for its share of the cost of the Factory premises, amounting to GH¢9,000,000. The revenue and costs are receivable and payable by the two other joint operation partners who will settle amounts outstanding with Atlas after each reporting date.

Required:

Show how Atlas will account for the joint operation within its financial statements for the year ended 31 December 2024**.**

Atlas
Schedule of Relevant Figures to Financial Statements

Statement of Financial Position	**Atlas**
Assets	**GH¢**
PPE (40% x 30m)	9,000,000
Provision for dismantling-PV (40% x 4m)	1,600,000
Total PPE	10,600,000
Depreciation (10,600,000/10)	1,060,000
Liability	
Provision for Dismantling-PV	1,600,000
Unwinding Int - 8% x 1,600,000	128,000
	1,728,000

Statement of Profit of Loss	
Revenue - 40% x 45m)	18,000,000
Production cost (40% x 26m)	10,400,000
Operating cost (40% x 1.2m)	480,000
Admin (40% x 2.3m)	920,000
Depreciation	1,060,000
Finance cost	128,000

Explanatory notes

1. In this question we have information about only operator, so the focus is on just Atlas.
2. Here the question categorically indicated that the sharing is based on shareholdings and that makes it simpler.
3. This question also has enough information to account for depreciation and interest in the dismantling provision – the application of IAS 16 and IAS 37. So, the operator takes its share of assets, liabilities, incomes and expenses and accounts for them in the individual financial statements by applying relevant standards as may be necessary.

Transaction between a Joint Operator and Joint Operation

Special guidelines are also provided for transactions, such as the sale, contribution or purchase of assets between the entity of a joint operator and the joint operation. The joint operator only recognises gains and losses resulting from sales and contributions to the joint operation to the extent of other parties' interest in the joint operations. In other words, its share of unrealised profits or losses are eliminated.

Therefore, if a joint operator has a 40% interest in a joint operation it will only recognise 60% of the profits or losses on the transactions attributable to the other joint operators. The logic is that a portion of the profit has in fact been realised.

For example, if operators A, B and C jointly control joint operation D (each having a 1/3 interest), and A sells equipment having a book value of GH¢120,000 to the operation for GH¢300,000, only 2/3 of the total gain of GH¢180,000= GH¢120,000 may be realised. However, if the transaction provides evidence of an impairment or reduction in the net realisable value of the assets to be sold or contributed, the joint operator must recognise the loss fully.

Similarly, if joint operators purchase assets from the joint operation, it may not recognise its share of gains and losses until the assets are resold to other parties. Again, if such transaction provides evidence of an impairment or reduction in the net realisable value of the assets purchased, the joint operator must recognise its full share of the losses.

Illustration 3
A Joint Operator Abiwu owns 50% of a joint operation (JO).
Abiwu sells inventory to JO:

- Cost of inventory: GH¢300,000
- Selling price: GH¢420,000
- Profit: GH¢120,000
- At year-end, inventory is still unsold by JO.

Required: How is the above transaction accounted for in the books of Abiwu?

Solution 3
Total profit on the transfer is GH¢120,000. Only 50% belonging to the other Operators is realised and recognised. The 50% belonging to Operator Abiwu is eliminated, considered unrealised and profit for trading with self. The GH¢60,000 is eliminated by: Dr Profit or loss and Cr Inventory.

Note that the Operator Abiwu will take 50% of the asset inventory from JO (50% x GH¢420,000). This inventory of GH¢420,000 is the selling price which includes the profit made by Abiwu. 50% of GH¢420,000 means Abiwu recognising GH¢210,000. To eliminate the 50% profit of Abiwu, Dr. SPL GH¢60,000 and inventory GH¢60,000 – thus the inventory will be at cost to Abiwu – GH¢210,000 - GH¢60,000 = GH¢150,000 (same as half of the cost of the inventory before sales).

If the inventory is sold to third parties before year end, then the total profit is earned and there is no elimination, and no asset inventory for Operator Abiwu to take a share.

Illustration 4
Joint Operator Abbot owns 60% of JO.
Abbot sells machinery to JO:

- Carrying amount: GH¢1,500,000
- Selling price: GH¢1,950,000
- Profit: GH¢450,000

The asset remains in the JO at year-end.

Solution 4
Forty percent of the total profit, which is share of the other Operators is considered realised and recognised. The sixty percent which is for Operator Abbot is not realised and must be eliminated. It is also to avoid recognising profit on goods sold to self.
Dr. SPL and Cr. Asset (60% of 450,000 = GH¢270,000). Abbot's share of the asset will be (60%x GH¢1,950,000) – GH¢ 270,000 = GH¢900,000 (same as 60% of GH¢1,500,000 = GH¢900,000)

Accounting for Interest in Joint Operations that Constitutes a Business (IFRS 3/11)
In May 2014 the IASB issued the amendments to IFRS 11 "Accounting for Acquisitions of Interests in Joint Operations" ruling the accounting for acquisitions of interests in joint operations in which the activity constitutes a business.

The IASB had noted that it was unclear how acquisitions of interests in joint operations, in which the activities constitute a business, were to be reported and thus the need for the amendment to IFRS 11.

When an entity acquires an interest in a joint operation that constitutes a business, as defined in IFRS 3, it shall apply, to the extent of its share in the assets and liabilities in a joint operation, all of the principles on business combinations accounting in accordance with IFRS 3, and any other IFRS that do not conflict with the guidance in IFRS 11 and disclose the information that is required in those IFRS in relation to business combinations.

This applies to the acquisition of both the initial interest and additional interests in a joint operation. The principles on business combinations include:

- the measurement of identifiable assets and liabilities at fair value;
- expensing acquisition-related costs;
- recognising goodwill; and
- impairment testing goodwill.
- Recognising deferred tax assets and deferred tax liabilities that arise from the initial recognition of assets or liabilities, except for deferred tax liabilities that arise from the initial recognition of goodwill, as required by IFRS 3 and IAS 12 for business combinations;

- Recognising the excess of the consideration transferred over the net of the acquisition- date amounts of the identifiable assets acquired and the liabilities assumed, if any, as goodwill; and
- Testing for impairment a cash- generating unit to which goodwill has been allocated at least annually, and whenever there is an indication that the unit may be impaired, as required by IAS 36 for goodwill acquired in a business combination.

These principles also apply to the formation of a joint operation if, and only if, an existing business, as defined in IFRS 3, is contributed to the joint operation on its formation by one of the parties that participate in the joint operation.

However, these principles do not apply to the formation of a joint operation if all of the parties that participate in the joint operation only contribute assets or groups of assets that do not constitute businesses to the joint operation on its formation.

These principles also do not apply on the acquisition of an interest in a joint operation when the parties sharing joint control, including the entity acquiring the interest in the joint operation, are under the common control of the same ultimate parent.

A joint operator might increase its interest in a joint operation in which the activity of the joint operation constitutes a business, as defined in IFRS 3, by acquiring an additional interest in the joint operation. In such cases, previously held interests in the joint operation are not remeasured if the joint operator retains joint control.